

his charts show three examples of bullish Wolfe waves where the security cuts through price (in technical terms, it means point 1 is not a minor low). For Wolfe waves, I did not allow the stock to slice through price and call it a valid turn. I always looked for a minor low as point 1.

Table 76.1 Identification Guidelines

Characteristic	Discussion
Point 1	Wolfe describes point 1 this way: “The 1 point is the bottom prior to point 2 (top), that 3 has surpassed.” Look for the bottom of the hill leading to point 2, providing the bottom of point 1 is above the price of valley 3.
Point 2	This is any minor high on the chart, providing it follows point 1. It's the hill joining valley 1.
Point 3	This is the bottom of the hill begun by point 2.
Point 4	This is the top of the hill begun by point 3. Point 4 must be below the price of 2, otherwise lines 2–4 and 1–3 will not converge.
Point 5	This is the bottom of the hill begun by point 4. It need not turn on line 1–3.
Apex, ETA	Lines 1–3 and 2–4, extended into the future, must converge. If they do not, then you do not have a Wolfe wave. Where they join is called the ETA, or Estimated Time of Arrival. It's the date of the wedge's apex.
Other rules	There should not be another higher peak or lower valley between the various turning points 1 through 5.
EPA	Estimated Price at Arrival. Draw a line connecting turns 1 and 4. When price meets the line, exit the trade.